6. 9:00 AM CASE NUMBER: C25-02637
CASE NAME: ROBIN FERNANDEZ VS. VEG SAN RAMON, LLC,
***FURTHER CASE MANAGEMENT CONFERENCE**
FILED BY:
****TENTATIVE RULING:****

See Line 5 above. Other counsel may appear by Zoom to address how the case will proceed depending on the ruling on the withdrawal motion.

7. 9:00 AM CASE NUMBER: MSC16-00996
CASE NAME: ELY VS. WALNUT CREEK ASSOCIATES 2 [PAGA]
SETTLEMENT CONFERENCE WITH SETTLEMENT MENTOR

Law & Motion

8. 9:00 AM CASE NUMBER: C23-00894
CASE NAME: KDAS VENTURES LLC, A LIMITED LIABILITY COMPANY, VS. FREEDOM FLIP INVESTMENTS I, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL RE: KEVIN R. MARTIN, ESQ.**
FILED BY: BECK, ROBERT
****TENTATIVE RULING:***

Counsel to appear (in person) for an in camera hearing as to grounds for withdrawal. The client may also appear in person if desired.

9. 9:00 AM CASE NUMBER: C23-01703
CASE NAME: TIM ARLEN VS. DOES 1-10, INCLUSIVE
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: ARLEN, TIM
****TENTATIVE RULING:****

Plaintiff petitions to arbitrate the uninsured motorist portion of this claim. The motion is unopposed, and it is **granted**.

10. 9:00 AM CASE NUMBER: C24-02943
CASE NAME: DANIEL VILLANUEVA VS. MANCINI'S SLEEPWORLD, INC.
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT**
FILED BY: VILLANUEVA, DANIEL
****TENTATIVE RULING:****

Plaintiff Daniel Villanueva moves for preliminary approval of his class action and PAGA settlement with defendant Mancini's Sleepworld, Inc. The motion is **granted**.

A. Background and Settlement Terms

Defendant Mancini's is in the business of selling mattresses, beds, and related products in traditional retail stores and online. Plaintiff Villanueva worked for Mancini's as a sales manager during the relevant time period.

The original complaint was filed on October 31, 2024.

The settlement would create a gross settlement fund of $300,000. The class representative payment to the plaintiff would be $10,000. Attorney's fees would be $100,000 (one-third of the settlement). Litigation costs would not exceed $20,000. The settlement administrator's costs are estimated at $7,000. PAGA penalties would be $80,000, resulting in a payment of $52,000 to the LWDA. The net amount paid directly to the class members would be about $83,000. The fund is non-reversionary. There are an estimated 49 class members. Based on the estimated class size, the average net payment for each class member is approximately $1,694. The individual payments will vary considerably, however, because of the allocation formula prorating payments according to the number of pay periods worked during the relevant time.

The entire settlement amount will be deposited with the settlement administrator within 30 days after the effective date of the settlement.

The proposed settlement would certify a class of all current and former non-exempt employees employed at Defendants' California facilities between December 1, 2022 and May 20, 2024, who did not sign arbitration agreements with Mancini's.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of pay periods worked during the class period.

A list of class members will be provided to the settlement administrator within 20 days after preliminary approval. Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Settlement checks not cashed within 180 days will be cancelled, and the funds will be directed to the State Bar's Greg E. Knoll Justice Gap Fund as a cy pres beneficiary.

The settlement contains release language covering all claims and causes of action, alleged or which could have reasonably been alleged based on the allegations in the operative pleading, including a number of specified claims. Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ("A court cannot release claims that are outside the scope of the allegations of the complaint.") "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp*. (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Formal discovery was undertaken, resulting in the production of substantial documents. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel also has provided an analysis of the case, and how the settlement compares to the potential value of the case, after allowing for various risks and contingencies. For example, much of plaintiff's allegations centers on possible off-the-clock work, including missed or skipped meal breaks and rest breaks. Defendant, however, pointed out that its formal policies prohibit off-the-clock work, and asserted that it would have had no knowledge of employees beginning work before punching in or continuing after punching out. Further, it argued that it was required to make meal and rest breaks available, but not required to ensure that they be taken, so long as no employer policy prevented or discouraged taking such breaks. As to unreimbursed employee expenses (such as cell phone use, mileage, and masks), plaintiff would have been called on to show that such expenses were in fact incurred, were reasonably necessary to job performance, and were unreimbursed. Furthermore, the fact-intensive character of such claims would have presented a serious obstacle to class certification.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code § 2699(e)(2) (PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.")) Moreover, recent decisions may make it difficult for PAGA plaintiffs to recover statutory penalties, as opposed to actual missed wages. (See, e.g., *Naranjo v. Spectrum Security Services, Inc.* (2024) 15 Cal.5th 1056.)

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co*. (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction … to the proposed settlement." (See also *Amaro*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees". (*Id*., at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "The court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "Where the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141

Cal.App.4th 48, 63.)

The settlement agreement includes an escalator provision, to be triggered in the event that the number of covered employees or work weeks turns out to be materially higher than now estimated. If the clause is triggered and the defendant elects to increase the total payment, no further approval will be needed. The parties are cautioned, however, that in the event the clause would result in a significant modification of the settlement (such as cutting back the covered period), it would be prudent to seek further approval from the Court.

C. Attorney Fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id*., at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval.

Similarly, litigation and administration costs and the requested representative payment of $10,000 for the plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-07.

D. Discussion and Conclusion

The Court finds that the settlement is sufficiently fair, reasonable, and adequate to justify preliminary approval.

Counsel will be directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. Five percent of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

11. 9:00 AM CASE NUMBER: C25-00347
CASE NAME: JONATHAN COTHAM VS. THOMAS KNOTH
HEARING ON ORDER TO SHOW CAUSE IN RE: ON PLEADINGS
FILED BY:
TENTATIVE RULING:*

Defendant's motion for judgment on the pleadings is calendared for September 24. The case management conference is also continued to that date. The orders to show cause are discharged.

12. 9:00 AM CASE NUMBER: C25-00957
CASE NAME: EAST BAY MUNICIPAL UTILITY DISTRICT VS. MATT KAUFFMAN